

WHY SMALL CAR SALES ARE FALLING

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- **HIGHER COMPLIANCE COSTS:** Mandatory six airbags, safety sensors and anti-lock braking systems raise entry-level vehicle costs. Emission norm adherence adds to expenses
- **MANDATORY 3-YEAR INSURANCE:** Car buyers must have three-year insurance policies for third-party coverage at the time of purchase, raising the upfront cost of vehicles
- **HIGH ROAD TAX AND GST:** In Maharashtra, petrol vehicles (up to Rs 10 lakh) pay 11% road tax, diesel vehicles 13% and CNG ones 7%. In Delhi, it's 5% for petrol (up to Rs 6 lakh) and CNG vehicles, and 6.25% for diesel ones. Small cars under 1,200cc face 18% GST
- **THE SUV BOOM:** Consumers increasingly prefer subcompact SUVs priced below Rs 10 lakh, attracted by larger vehicle formats at competitive prices
- **GROWING USED CAR MARKET:** Five- to six-year-old cars offer better safety, build quality and technology, making them attractive to first-time buyers seeking value

segments grow." What worries him is that small car sales will keep declining if nothing is done to address the issue, and that this will eventually hit carmakers hard.

HIGHER COMPLIANCE COST

One of the reasons small car sales have been falling is that their prices have gone up due to increasing regulatory requirements. "There is a disproportionate increase in the price of cars due to the regulatory requirements," says Bhargava. "This year, we had to increase the price of some small cars because of the air bags we need to put on them. That has caused a slide in the retail market." The Union ministry of road transport and highways has made it mandatory for small cars to have six airbags to make them safer. However, the industry estimates that the cost of airbags and the structural changes required can increase the vehicle price by up to Rs 60,000. Although car prices have been rising across the board due to regulatory requirements and emission norms, the segment likely to be most affected is small cars—for buyers with a budget of Rs 5 lakh, such additional costs can be a dampener.

Take the case of Anjani Kumar Singh, 35, who owns a fabrication shop in Panvel in Navi Mumbai and earns around Rs 50,000 a month. He had long aspired to buy a vehicle under Rs 5 lakh, preferably a WagonR, by paying up to Rs 2 lakh upfront and financing the rest through an auto loan. However, he says the base price of the car is now around Rs 5.8 lakh. "I don't think I will be able to own a new car anytime soon," says the father of three, who hails from Sasaram, Bihar. "I may go in for a second-hand car for now."

What miffs carmakers is that even a developed market like Japan does not have such stringent rules. For instance, it is not mandatory for kei cars, which constitute about a third of the country's car market, to have six airbags. They believe customers should have options. Bhargava says that if there is market demand for six airbags, manufacturers should provide them. "In our case, there is no option for the customer. We do not know if all the customers would want to continue with the scooter and not buy a small car with six airbags or with some other of the features," he says. Apart from six airbags, features like safety sensors and anti-lock braking systems add to the cost of entry-level vehicles. Moreover, vehicles have to adhere to Bharat Stage VI emission norms to reduce pollutants. This is hurting affordability, as it is largely determined by the car's initial price. Even when taking a loan, the down payment is based on the vehicle's upfront cost.

Bhargava cites the example of two-wheeler sales to prove his point. "Two-wheelers had reached 20 million sales in 2018.